NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- IV)
CP. (CAA)-16/ND/2021

IN THE MATTER OF SCHEME OF ARRANGEMENT:

AMONGST

M/s Online Micro Services Private Limited
... Applicant No.1/Demerged Company

AND

M/s Eventure Softsol Private Limited
...Applicant No.2/ Resulting Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 23.05.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. DHARMINDER SINGH, HON'BLE MEMBER, (J)
MS. SUMITA PURKAYASTHA, HON'BLE MEMBER, (T)

ORDER

PER: SHRI DHARMINDER SINGH, MEMBER (JUDICIAL)

This petition has been filed by the Petitioner Company under Sections 230 and 232 of the Companies Act, 2013 read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of approving the Scheme of Arrangement, as contemplated between the Demerged Company and the Resulting Company. The said Scheme of Arrangement, proposes Demerger of a

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part of the business of an existing company to its newly formed wholly owned subsidiary.

2. M/s Online Micro Services Private Limited (hereinafter referred as the **"Demerged Company")** having CIN no. U74899DL1995PTC067295 is a Private Company Limited incorporated under the Companies Act, 1956 on 07.04.1995. The registered office of the demerged company is situated at 546,2nd Floor, Chirag Delhi, New Delhi-110017.

3. M/s Eventure Softsol Private Limited (hereinafter referred as the **"Resulting Company"**) having CIN no. U72900DL2000PTC108404 is a Private Company Limited by shares incorporated under the Companies Act, 1956 on 03.11.2000. The registered office of the resulting company is situated at 546,2nd Floor, Chirag Delhi, New Delhi-110017.

4. The present application has been jointly filed by all the demerged and resulting companies. Both the 'demerged' and 'resulting' Companies together are called 'Applicant Companies' hereinafter. That the Registered offices of all the Companies are in Delhi and therefore, the jurisdiction lies with this Bench.

5. It is seen from the record that the Board of Directors of all the Applicant Companies vide separate meetings held on 29.06.2020 have approved the proposed 'Scheme of Arrangement'.

6. It is stated by the Applicant Companies that the following objectives are sought to be achieved by way of Arrangement:

   a) "During the course of carrying on its business, the demerged company felt that business related to government projects may be demerged and be

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transferred to another company, the resulting company, so that demerged company can focus on other business.

b) In view of the increased opportunities in government projects, it has been decided to demerged it so that it can be carried on with desired attention towards these projects. The resulting company has been equipped with resources and technologies to serve government projects, it was only natural, commercially expedient and prudent business wise that the government projects undertaking of the demerged company be demerged with the resulting company.

c) With demerged of the government projects undertaking of the demerged company, it is proposed to reap the advantages of the increasing opportunities in the government projects and other related activities by attaining synergy, strategic benefits and complementary advantages. The respective managements of the demerged company and the resulting company are of the considered opinion that to have separate Government projects division with the demerged company engaged in same line of business would lead to multiplication of expenses by way of administration, establishment and other charges and that these unnecessary expenses could well be avoided if the proposed demerger comes into effect.

d) As a result of the demerger, both the companies will be able to avail of the benefits of accumulation of financial resources and the managerial and marketing experiences of each other with focused attention and core competence.

e) With demerger of the government project undertaking of the demerged company, the benefit of the combined assets, manpower and cash flows of the resulting company would be available. The combined resources of the demerged government projects undertaking of the demerged company with that of the resulting company would be conducive to enhance the capability of the resulting company to face competition in the market place more effectively and efficiently.

f) The magnitude of investments in this line of business is also another major reason, which has necessities the pooling of resources, which would lead to much better

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investments, expansion and other related diversification in the related area."

7. All the Applicant Companies have filed their Affidavits in compliance of Section 230(2)(a) of Companies Act 2013 submitting therein that none of the Applicant Companies are under any prosecution/ investigation/ inquiry under Companies Act 2013.

8. The Applicant Companies have also placed on record the Certificate from the Statutory Auditors conforming that their Accounting Standards are in conformity with the provision of Section 133 of the Companies Act 2013.

9. The Applicant Companies have filed their respective Memorandum of Association (MoAs) and Articles of Association (AoAs). The Applicant Companies have filed their latest Balance Sheets as on 31.03.2020.

10. The position regarding the Applicant Company wise no. of Shareholders and Creditors and their Consent through Affidavits is summarised overleaf:

Particulars	No. of Equity Shareholders	Consent given %	No. of secured creditors	Consent given %	No. of Un-secured creditors	Consent given %
Applicant Company-I	2	100	1	100	31	98.97%
Applicant Company-II	5	100	1	100	37	96.97%

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11. The applicants further affirmed that the Scheme does not prejudicial to the interests of the shareholders, and creditors of the applicant companies. Rather, the same may be beneficial to all the applicant companies and their respective shareholders, and creditors.

12. A perusal of the petition discloses that the first motion application bearing C.A. No. (CAA)93/ND/2020 was filed by the Petitioner. Base on the averments made in the said application the Tribunal vide order dated 20.11.2020 dispensed the meetings of the equity shareholders, secured creditors and unsecured creditors of the applicant/transferee company.

13. The petitioner company was directed to issue public notices and individual notices to the Regional Director, Official Liquidator and the Income Tax Department. An affidavit dated 05.04.2021 filed by the petitioner company affirming that the petitioner has effected publication in the English daily newspaper ""Indian Expres" Delhi edition on 18.03.2021 and in Hindi daily newspaper "Jansatta" Delhi edition on 19.03.2021 inviting objections if any to the proposed Scheme of Arrangement.

14. Pursuant to the Publication in the daily newspapers, for listing of the matter before this Bench, no objector has appeared before us.

15. The reply of the Regional Director, Income Tax Department and Report of Official Liquidator have been filed. The Regional Director in its report submitted that on examination of scheme of Arrangement, it is found that the scheme is silent about the details of assets and liabilities of the De-merged company to be transferred to the resulting company. A query was raised to the

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petitioner companies in this matter, the petitioner companies have submitted their reply stating the details of assets and liabilities to be transfer from the De-Merged Company to the resulting company and the probable position of assets and liabilities in the books of the demerged company and resulting company on post arrangement. Further in its report it is submitted that the para 6.13 of the scheme to be deleted from the scheme of arrangement, for reference the said para is been cited which speaks as under:

> *"Upon coming into the effect if this scheme, the borrowing limits of resulting company in terms of section 180(1)(c) of the Act, shall be deemed without any further act or deed to have been enhanced by the aggregate liabilities of De-merged Company which are being transferred to resulting Company pursuant to the Scheme, such limits being incremental to the existing limits of resulting company, with effect from the Appointed Date".*

16. In view of the above, RD had submitted in its report that there is no provision under the Act to transfer the borrowing limit of one company to another company through arrangement, since the borrowing limit is neither an asset nor a liability to be transferred through Amalgamation/Arrangement. The enhancement of the borrowing company can be made by any company by passing board resolution followed with special resolution to be passed by the members of the Company in terms of the provisions of section 180(1)(c) of the

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Act, hence the act of enhancement of the borrowing limit is under the domain of the shareholders of a company. Therefore, the contentions of the para 6.13 of the Scheme of the Arrangement is no way fall under the domain of the scheme. With reference to the RD report joint reply of the petitioner companies had been placed on record stating that the scheme of arrangement submitted has been approved by the 100% shareholders of both the petitioner companies. It is further submitted that that clause 6.13 was incorporated in the scheme as a matter of abundant caution with the objective of smooth implementation of the scheme and to avoid such an eventuality as may impede the implementation of the scheme. Later, own an I.A./ND/09/2022 was filed on behalf of the petitioner for placing on record the amended scheme whereby deleting the Para 6.13 of the Scheme.

17. The Report dated 02.08.2021 of the Income Tax Department has been filed in respect of both the petitioner companies. As per the report the Department has no objection in respect to the sanctioning of the Scheme.

18. In respect of Official Liquidator, the report has been filed on 03.08.2021 submitting as follows:

> *"That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view of that the affairs of the aforesaid Transferor Company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interests as per the provisions of the Companies Act,*

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1956/the Companies Act, 2013 whichever is applicable."

19. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of both Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Regional Director, Income Tax Department, Official Liquidator or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Arrangement proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013. The sanctioned Scheme of Arrangement shall be binding on the Transferor Company and Transferee Company (the Applicant / Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

20. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

21. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other

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requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961 as well as any other commercial liabilities.

22. **THIS TRIBUNAL FURTHER DIRECTS** with respect to Transferor company and Transferee company, that:

- That all the property, rights and powers of the demerged undertaking of transferor company be transferred without further act or deed to the transferee company and all the and accordingly the same shall pursuant to section 232 of the Act, be transferred to and vest in the resulting company for all the estate and interest of the transferor company therein but subject nevertheless to all charges now affecting the same; and
- That all the liabilities and duties of the demerged undertaking of transferor company be transferred without further act or deed to the transferee company and accordingly the same shall pursuant to section 232 of the Act, be transferred to and become the liabilities and duties of the resulting company; and
- That all proceedings now pending by or against the demerged undertaking of transferor company be continued by or against the transferee company; and

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- That the Transferee Company do without further application allot to such members of the Transferor Company, as is required by SCHEME OF ARRANGEMENT herein the shares in the transferee company to which they are entitled under the proposed Scheme; and
- That petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and the Registrar of Companies shall place all documents relating to the demerged undertaking of the transferor company and registered with him on the file kept by him in relation to the transferee company; and
- That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

23. The Company Petition is ALLOWED in the above terms.

Let the copy of the order be served to the parties.

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(SUMITA PURKAYASTHA)
MEMBER (TECHNICAL)

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(DHARMINDER SINGH)
MEMBER (JUDICIAL)